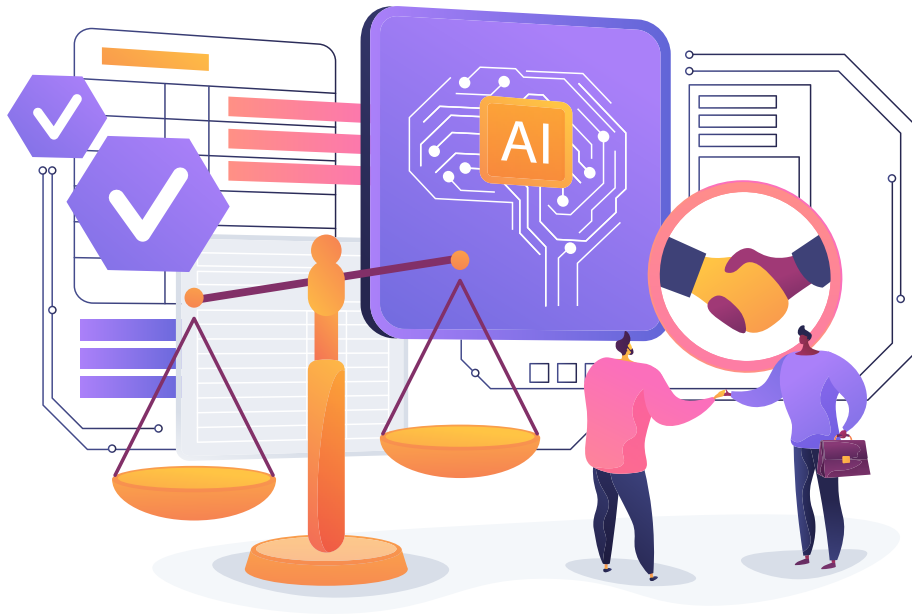


Why Small Businesses Need an AI and Data Governance Policy



Small businesses tend to think an AI and data governance policy is unnecessary and unimportant for their scale of work. They couldn't be more wrong...

AI and data governance have largely been positioned as priorities for large enterprises, especially with regulatory frameworks tightening globally. Hence, many large enterprises have developed a detailed AI and data governance policy. However, small and medium enterprises are not that keen to enforce strict policies regarding AI and data governance; they seem to think that their business size and reach make them immune to the consequences of the changing digital world. However, the fact is that due to their limited size and capital, SMEs are even more vulnerable to bias, breaches and other cyber threats. Moreover, unlike large companies they don't have the cushion to cover the damage and bounce back from a breach — a key point to focus on as AI misuse has increased the scope of cybercrime manifold.

Why SMBs should be serious about data governance

While small businesses are increasing the use of AI tools like AI agents, recommendation engines, email automation, or predictive analytics for their in-house as well as customer facing operations, they lack robust internal frameworks to evaluate the logic behind how their AI tools work. They aren't keen to know how AI gathers the data, processes it, or makes decisions that will impact their customers. This can lead to bias, operational discrepancies and privacy violations.

Proper governance helps SMEs to build the scaffolding to safeguard their brand, ensure uniform customer experience and gain clients' trust. This is more than about mere compliance. It is an opportunity to enhance your organisation's reputation and revenue potential while avoiding pitfalls.

How to implement AI and data governance in small or medium enterprises

Many small businesses look at an AI and data governance policy as a complex document with jargon-rich language. This is not true. You can easily draft a policy by following these basic steps.

Prepare a simple policy in plain language: Write a simple, jargon-free draft defining the volume and type of collected data, its usage, storage location, and the specific AI tools employed. Then clearly define the acceptable use cases. Keep in mind that not all the employees will be able to decipher the meaning behind technical terminology. So, use plain, comprehensible language.

Refer to publicly available frameworks: If you are struggling to draft the initial AI policy framework, refer to similar frameworks that are publicly available like:

- NIST AI Risk Management Framework
- Singapore's Model AI Governance Framework